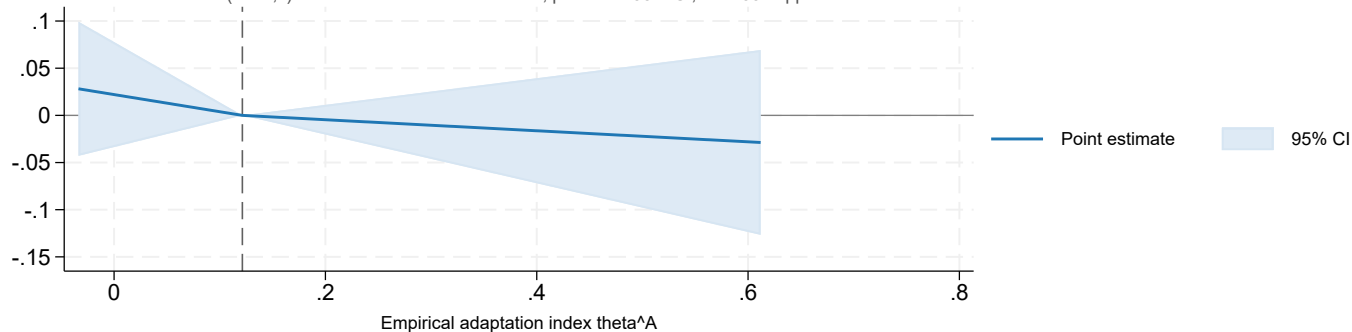


Marginal effect on next-period debt-change ratio

Debt-change marginal effect of readiness

$m(\theta; c)$ from the full-control kink model; pointwise 95% CI; P1-P99 support

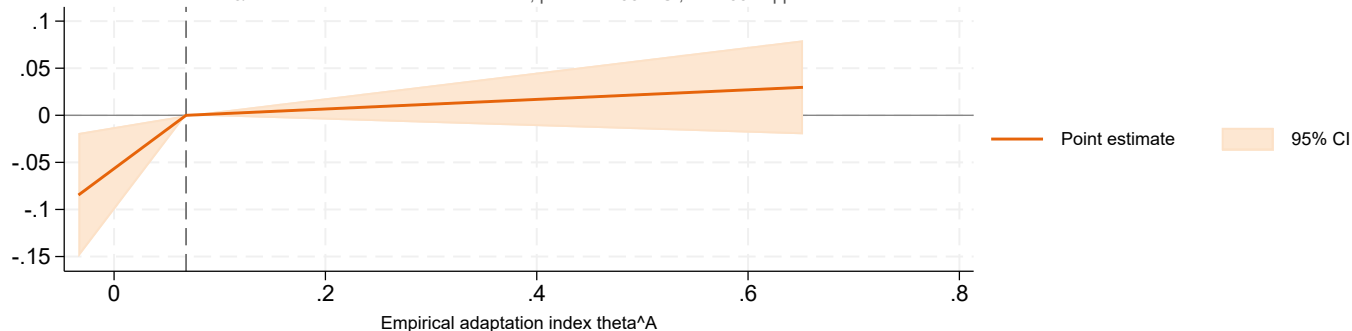


Positive values imply higher next-period debt changes; dashed line: RSS-minimizing cutoff c .

Marginal effect on readiness change

Fiscal-pressure marginal effect on readiness change

dJ/dFT from the full-control kink model; pointwise 95% CI; P1-P99 support



Positive values imply higher readiness changes; dashed line: RSS-minimizing cutoff c .